This communication between FTB and SCO contains information related to numbers 2, 6, and 7 of the PRA request.

Doran, Heather

From: Andrews, Alaina@FTB <Alaina.Andrews@ftb.ca.gov>
Sent: Wednesday, June 14, 2023 2:26 PM
To: Doran, Heather
Cc: Saldana, Rikki@FTB; Omarkhail, Yama; Haber, Matthew; Garcia, Alexander@FTB
Subject: RE: Higher Education IICP Participants

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Good afternoon Heather,

Providing you an update on this outstanding issue. FTB IIC was able to change the category codes on Private Higher Education Participants so they will no longer be receiving Lottery and Unclaimed Property offsets effecting June 2023.

We have identified seven lottery or unclaimed property offsets that occurred in 2023 that will need to be revered back to the taxpayers as they were offset to a Private Higher Education Institution.

If you have no concerns, we will be moving forward with reversing the impacted seven offsets above, as well as notifying the participating agencies impacted by the change.

Thank you,

Alaina Andrews
Program Manager | Statewide Collection Bureau
Interagency Intercept Collections | Vehicle Registration Collections
Tel 916.845.5213

From: Doran, Heather <hdoran@sco.ca.gov>
Sent: Tuesday, April 11, 2023 11:39 AM
To: Andrews, Alaina@FTB <Alaina.Andrews@ftb.ca.gov>
Cc: Saldana, Rikki@FTB <Rikki.Saldana@ftb.ca.gov>; Omarkhail, Yama <YOmarkhail@sco.ca.gov>; Haber, Matthew <MHaber@sco.ca.gov>; Garcia, Alexander@FTB <Alexander.Garcia@ftb.ca.gov>
Subject: Re: Higher Education IICP Participants

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Yes, they would need to identify public vs private on the Intent form.

From: Andrews, Alaina@FTB <Alaina.Andrews@ftb.ca.gov>
Sent: Tuesday, April 11, 2023 11:25 AM
To: Doran, Heather <hdoran@sco.ca.gov>

Cc: Saldana, Rikki@FTB <Rikki.Saldana@ftb.ca.gov>; Omarkhail, Yama <YOmarkhail@sco.ca.gov>; Haber, Matthew <MHaber@sco.ca.gov>; Garcia, Alexander@FTB <Alexander.Garcia@ftb.ca.gov>
Subject: RE: Higher Education IICP Participants

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Thank you Heather!

Yes, our IT department will be exploring options, including a new category code. I think they are more concerned about how the system will bypass certain types of offsets, but we will leave that to them to resolve ☺

You mentioned researching each school online. What are your thoughts on requesting the agency identify which type of HEI they are on the Initial Request to Participate? Just a thought so SCO/IIC does not have to do the additional research.

Thank you,

Alaina

From: Doran, Heather <hdoran@sco.ca.gov>
Sent: Tuesday, April 11, 2023 10:49 AM
To: Andrews, Alaina@FTB <Alaina.Andrews@ftb.ca.gov>
Cc: Saldana, Rikki@FTB <Rikki.Saldana@ftb.ca.gov>; Omarkhail, Yama <YOmarkhail@sco.ca.gov>; Haber, Matthew <MHaber@sco.ca.gov>; Garcia, Alexander@FTB <Alexander.Garcia@ftb.ca.gov>
Subject: RE: Higher Education IICP Participants

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See the attached spreadsheet for my current information regarding Private vs Public Institutions.

The determination between Private and Public was done by researching each school online. As I mentioned to Jennifer, the best solution is to create two separate agency type codes in your system to identify them separately. Right now all of them are being coded as category 8. Maybe creating a category 9 for Private Schools will solve the issue.

From: Andrews, Alaina@FTB <Alaina.Andrews@ftb.ca.gov>
Sent: Tuesday, April 11, 2023 10:37 AM
To: Doran, Heather <hdoran@sco.ca.gov>; Doran, Heather <hdoran@sco.ca.gov>
Cc: Saldana, Rikki@FTB <Rikki.Saldana@ftb.ca.gov>; Omarkhail, Yama <YOmarkhail@sco.ca.gov>; Haber, Matthew <MHaber@sco.ca.gov>; Garcia, Alexander@FTB <Alexander.Garcia@ftb.ca.gov>; Andrews, Alaina@FTB <Alaina.Andrews@ftb.ca.gov>
Subject: RE: Higher Education IICP Participants

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Good morning Heather,

Hope all is well with you. It has been a while since we discussed this topic, IIC has been working with FTB Legal and IT to validate and submit a request for a long-term solution to prevent Private Higher Education Institutions (HEI) from receiving Lottery or Unclaimed Property offsets. The IT change has been requested and IIC will be providing a manual work around until implemented, as well as updating IIC communications, notices, procedures, etc.

I am not aware of any report/list IIC receives that separates the Private HEI from Public HEI. Attached is what you originally submitted to Jennifer back in November. Is this a list that you prepare based on information provided by the agency? Are you able to provide IIC with an updated list for the 2023 participation year? This will assist us in reviewing and reversing any offsets that should not have taken place until the system fix is implemented.

We will continue to communicate any potential impact to SCO on this matter. Your assistance is always appreciated, please let me know if you have any questions or would like to meet to discuss further.

Thank you,

Alaina Andrews
Program Manager | Statewide Collection Bureau
Interagency Intercept Collections | Vehicle Registration Collections
Tel 916.845.5213

From: Hudson, Heather <hhudson@sco.ca.gov>
Sent: Tuesday, November 15, 2022 1:47 PM
To: Ballard, Jennifer@FTB <Jennifer.Ballard@ftb.ca.gov>; Garcia, Alexander@FTB <Alexander.Garcia@ftb.ca.gov>; Andrews, Alaina@FTB <Alaina.Andrews@ftb.ca.gov>; Taylor, Ty@FTB <Ty.Taylor@ftb.ca.gov>
Cc: Omarkhail, Yama <YOmarkhail@sco.ca.gov>; Haber, Matthew <MHaber@sco.ca.gov>
Subject: Higher Education IICP Participants

Hi Jennifer,

Per our conversation, I have some concerns with regard to the current IICP participation of Private Higher Education Institutions.

Private Higher Education Institutions are eligible to participate under **Government Code section 12419.9**. This statute limits them to only receiving offsets from Personal Income Tax Refunds. (See excerpt below.)

State Universities and Community College Districts are Public Higher Education Institutions and are not limited. (See Education Code 66010 excerpt below.)

Unfortunately, we have been lumping ALL higher learning institutions into Category Code 8, resulting in private institutions receiving offsets from all sources without proper legal authority. To remedy this matter, private and public schools should have different Category Codes.

I have attached a listing of the participating schools in 2020 as an example. I obtained this information from the annual listing provided to me by FTB and split them by legal authority.

Heather Doran | Associate Acounting Analyst
Office of State Controller Betty T. Yee
State Accounting and Reporting Division, Bureau of Accounting and Consulting
3301 C Street, Suite 760
Sacramento, CA 95816 | (916) 322-6141

12419.9.

(a) For the purposes of Section 12419.5, an amount due a state agency from a person or entity shall include any amount due an educational institution authorized pursuant to subdivision (a) of Section 94760* of the Education Code from a person for repayment of federally subsidized student loans. The Controller may establish procedures to minimize administrative costs of collecting obligations pursuant to this section.
(b) If the Controller, in his or her discretion, offsets an amount due an educational institution from a person pursuant to Section 12419.5, the Controller shall remit the amount offset to the educational institution.
(c) Offset pursuant to Section 12419.5 and this section shall be limited to amounts due a person on a claim for a personal income tax refund. Whenever the amount available is insufficient to offset all amounts due state agencies, the amount available shall be applied in such manner as the Controller, in his or her discretion, shall determine.
(d) The Controller shall deduct and retain from any amount offset pursuant to this section an amount sufficient to reimburse the Controller and the Franchise Tax Board for the administrative costs of processing the request for an offset.
(e) This section shall become operative on January 1, 1997.
(Repealed (in Sec. 289) and added by Stats. 1995, Ch. 758, Sec. 289.5. Effective January 1, 1996. Section operative January 1, 1997, by its own provisions.)

* Education Code Title 3 Division 10 – Private Postsecondary and Higher Education Institutions

EDUCATION CODE - EDC
TITLE 3. POSTSECONDARY EDUCATION [66000 - 101060]
(Title 3 enacted by Stats. 1976, Ch. 1010.)

ARTICLE 1. Definitions [66010- 66010.]
(Heading of Article 1 added by Stats. 1991, Ch. 1198, Sec. 2.)

66010.

(a) Public higher education consists of (1) the California Community Colleges, (2) the California State University, and each campus, branch, and function thereof, and (3) each campus, branch, and function of the University of California.
(b) As used in this part, "independent institutions of higher education" are those nonpublic higher education institutions that grant undergraduate degrees, graduate degrees, or both, and that are formed as nonprofit corporations in this state and are accredited by an agency recognized by the United States Department of Education.

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GOVERNMENT CODE - GOV

TITLE 2. GOVERNMENT OF THE STATE OF CALIFORNIA [8000 - 22980]

(Title 2 enacted by Stats. 1943, Ch. 134.)

DIVISION 3. EXECUTIVE DEPARTMENT [11000 - 15986]

(Division 3 added by Stats. 1945, Ch. 111.)

PART 2. CONSTITUTIONAL OFFICERS [12001 - 12790]

(Part 2 added by Stats. 1945, Ch. 111.)

CHAPTER 5. Controller [12402 - 12481]

(Chapter 5 added by Stats. 1945, Ch. 111.)

ARTICLE 2. Duties [12410 - 12432]

(Article 2 added by Stats. 1945, Ch. 111.)

12419.9.

(a) For the purposes of Section 12419.5, an amount due a state agency from a person or entity shall include any amount due an educational institution authorized pursuant to subdivision (a) of Section 94760* of the Education Code from a person for repayment of federally subsidized student loans. The Controller may establish procedures to minimize administrative costs of collecting obligations pursuant to this section.

(b) If the Controller, in his or her discretion, offsets an amount due an educational institution from a person pursuant to Section 12419.5, the Controller shall remit the amount offset to the educational institution.

(c) Offset pursuant to Section 12419.5 and this section shall be limited to amounts due a person on a claim for a personal income tax refund. Whenever the amount available is insufficient to offset all amounts due state agencies, the amount available shall be applied in such manner as the Controller, in his or her discretion, shall determine.

(d) The Controller shall deduct and retain from any amount offset pursuant to this section an amount sufficient to reimburse the Controller and the Franchise Tax Board for the administrative costs of processing the request for an offset.

(e) This section shall become operative on January 1, 1997.

(Repealed (in Sec. 289) and added by Stats. 1995, Ch. 758, Sec. 289.5. Effective January 1, 1996. Section operative January 1, 1997, by its own provisions.)

Added by SB 518 1983-84 (Chapter 1243). Number revised to 12419.9 by AB 446 1995-96 (Chapter 758)

* Education Code Title 3 Division 10 – Private Postsecondary and Higher Education Institutions

Private Postsecondary Education Institutions
Offsets Paid in Calendar Year 2023

Lottery:

1G – UMASS Global	$ 1,000.00	January 2023	[redacted]

Unclaimed Property:

1G – UMASS Global	$ 2.97	February 2023	[redacted]
1G – UMASS Global	$ 221.64	March 2023	[redacted]
1G – UMASS Global	$ 68.10	April 2023	[redacted]
W2 – Loyola Marymount	$ 24.84	May 2023	[redacted]
W7 – La Sierra University	$ 4.03	May 2023	[redacted]

All of these offsets were for the full amount of the claim.

State Accounting and Reporting Division
Payroll Fiscal Consulting Section
IICP Participating Postsecondary Education Institutions in 2023

Government Code Section 12419.5 (State Universities)

Type	Agency	Code
University	Univer. Of CA. Santa Barbara	77
College	San Francisco State University	1E
University	CA State University Sacramento UTAPS	1J
University	UC Santa Cruz Police Dept	1L
University	UC Davis Medical Center	1R
University	San Jose, CSU	AB
University	Long Beach, CSU	AC
University	Los Angeles, CSU	AD
University	San Diego, CSU	AE
University	Pomona, Cal State Poly	AF
University	Northridge, CSU	AG
University	East Bay, CSU	AH
University	Fresno, CSU	AI
University	Chico, CSU	AJ
University	Stanislaus, CSU	AK
University	University of California	AM
University	Sacramento, CSU	AN
University	Dominguez Hills, CSU	AO
University	San Bernardino, CSU	AQ
University	Humboldt, CSU	AS
University	Fullerton, CSU	AX
University	San Francisco, CSU	AY
University	Los Angeles, UC	B7
University	Bakersfield, CSU	BU
University	Sonoma, CSU	BV
University	Hastings College of Law, UCB	BY
University	Riverside, UC	DL
University	California Community Colleges Chancellor's Office	DV
University	Santa Barbara, UC	EE
University	California Maritime Academy	EL
University	San Marcus, CSU	FZ
University	CSU CAL State Tech	G9
University	CSU Fresno Parking	L9
University	Monterey Bay, CSU	M7
University	UCLA Collections Branch	NW
University	Monterey Bay, CSU	QR
University	Berkeley Loans & Receivables, UC	RA
University	Chancellor's Office, CSU	RU
University	San Bernardino, CSU Paul Library	SH
University	California State University	SV
University	San Bernardino, CSU Parking	SX
University	Channel Islands, CSU	SY
University	San Luis Obispo, Cal State Poly	TT
University	CSU Northridge Department Police Service	V5
University	Davis, UC	ZT

Government Code Section 12419.7 (Community Colleges)

Type	Agency	Code
University	Marin Community College district	69
College	Napa Valley College Police	93
College	Cerro Coso College	96
College	Bakersfield College	98
College	Proterville College	99
College	NOCCCD Cypress College	1A
College	Solano Community College	1C
College	Palomar College Police	1D
College	Pasedena City College	1F
College	San Jose Evergreen College	1K
College	Chaffey College	1M
College	Los Angeles Valley College	1S
College	Irvine Valley College	1T
College	City of Riverside Community College	1U
College	Golden West College	1V
College	Orange Coast College	1W
College	Coastline Community College	1Y
College	Mt San Antonio Community College	T1
College	Cerritos College	BD
College	San Mateo Community College District	ZD

Government Code Section 12419.9 (Private Higher Educ)

Type	Agency	Code
College	Notre Dame de Namur University	84
College	Vanguard University	88
College	Brandman University	1G
University	University of Redlands	1X
University	University of Southern California (USC)	A8
University	Assoc of Independent CA Colleges	EG
University	Pepperdine University	NY
University	CA College of Podiatriac Medicine	RB
University	Point Loma Nazarene University	RC
University	Stanford University	RN
University	Monterey Institute International Study	RO
University	John F. Kennedy University	TJ
University	Santa Clara University	V6
University	University of Laverne	V7
University	Biola University	V8
University	Whittier College	V9
University	Loma Linda University	W1
University	Loola Marymount University	W2
University	Saint Mary's College	W3
University	La Sierra University	W7
University	CA College of Arts	W8
University	California Lutheran University	W9
University	Azuza Pacific University	X1
University	Union Pacific College	X2
University	Chapman University	X5

Payroll Fiscal Consulting Section
Private HEI Offsets Discussion with Franchise Tax Board
Meeting Notes
July 14, 2023

Attendees: SARD: Matt Haber, Heather Doran
FTB: Alaina Andrews (IICP Manager), Rikki Saldana (IICP Supervisor), Lark Hall (Accounting)

Divisions Impacted: SARD

Summary of Issue: The purpose of the meeting is to discuss erroneous payments made to private colleges for Unclaimed Property (UPD) and Lottery Offsets.

Legal Recommendations: TBD

Division Concerns: same as BAC

BAC Concerns: Costs involved with refunding small amounts to debtors. Providing debtors the option to receive a refund. Will this end up in the media? Will other debtors want refunds from past years?

Meeting Recap:

FTB – Provided overview of how the issue came to light. Resolution going forward is in place; IT has fixed coding related to the private colleges. Since it was FTB's error impacting taxpayers, direction is to make it right by refunding erroneous offsets. FTB does not have access to money to make refunds.

SARD – It is a complicated process, takes time, costs money unless agency directly refunds the debtor, but would have to trust that the agency actually refunded debtor. One of SCO's concerns is that it is costing more money for SCO.

FTB – What would be the ballpark time, hypothetically how long if agency gets funds back to SCO, how long to get back to impacted taxpayer?

SARD – Depending on how quickly the colleges return the funds and on Lottery and UPD, SCO would transfer right away once the funds are received. Lottery and UPD would have to reissue claim schedules through that process, then it would still be run through the offset process; up to a month, last time it took 2 years when money needed to come back

FTB – Money goes out regularly for PIT; could take some money from next payment, shorting payment; but for this, no pot of money to dip from.

SARD – Special Deposit Fund is in and out, no surplus to process. Other concern, asking to give money back which had been credited to the debtor's account; debtor benefited by not accruing interest on that amount; from the debtor's perspective, would they want the money back or would they like to keep it (applied)? Give them the option.

FTB – Great point; taking into consideration, learning now that we don't have a process for Lottery and Unclaimed Property; for PIT, we do; we are recognizing this as a learning opportunity to develop a

process on how to handle in the event we need to pull back money; we worked on coding to bypass the hit list, but Heather you manually stopped payments from going out to other States, we did not have a way of knowing private versus public.

SARD – Database updated whenever a new participant is added by FTB, read the code and did the research, brought this up to FTB, this was at the beginning of the pandemic.

FTB – 28 on the list which are private; For PIT, how that is going to reflect, we're reversing PIT offsets for Lottery funds; how'd they feel about taking their intercept?

SARD – They do know which one it comes from (the source of the money); throws off their reconciliations, best to not offset PIT to recover UPD and Lottery errors; best going forward is that the coding is correct; remove coding from the database so those won't come up again.

FTB – Thank you for working with us on the process. Have more to discuss (internally) and will contact you if we have any questions.

Action Items:
None noted.

Meeting Notice:

Handouts: